Investments in limited partnerships have the potential for attractive gains if you buy into the right one. Finding an honest and experienced general partner is the key. A competent and experienced general partner should handle everything, including the acquisition, management, and resale of the properties. The disadvantage of owning an LP is that the limited partners must remain passive. They are not allowed to participate in any stage of the business. Limited partners have no say in decisions about which properties will be bought, how they will be managed, or when the properties will be sold. In addition, limited partnership shares are generally illiquid. Limited partners often have a very difficult time selling their shares because it is hard to find another investor who is willing to offer a fair and reasonable price.

REITs are the simplest way to participate in the real estate market. Property REITs are like baskets of real estate properties that trade on a stock exchange. The public market for REITs provides instant liquidity. The disadvantage of REITs is the cost of management and administration. If the current income from the underlying real estate is around 8 percent, the income to REIT investors will be about 6 percent. In addition, REIT investors have no management say aside from voting annual proxies.

Over the past 20 years, the REIT market has grown significantly, and REIT mutual funds have become very popular. An investor can own a small slice of thousands of properties in various market segments across the country with the purchase of a REIT index mutual fund or ETF.

There are disadvantages to REITS also. REIT mutual funds have another layer of fund management on top of the management fees already inherent in the REIT management. A second disadvantage is that REIT prices do not typically reflect the true value of the underlying net asset value (NAV) of the real estate. REIT prices tend to be much more volatile than the price of the underlying real estate, and at times shares can trade at steep discounts and large premiums to NAV.

REITS AS AN ASSET CLASS

The investments recommended in this book are low-cost mutual funds. Accordingly, the only commercial real estate recommended in this book are equity REIT funds and ETFs. However, the lessons learned in this section can be applied to other forms of commercial real estate holdings.